# Robinhood Markets, Inc.

**HOOD** NASDAQ

| Hold | $101.89 ▼ 7.81% | 12M Price Target $115.00 | 52-Week Range $63.52 – $150.47 | Market Cap $91.61B |
|---|---|---|---|---|

## HOOD: Crypto Wobble Hits After 5-Day Run

### WHAT HAPPENED

- HOOD dropped 7.8% today after five straight green days — no company-specific news, no filings, nothing from management. That tells you this is a positioning/profit-taking move, not a fundamental crack. The stock had run from ~$107 to $110.50 in a week, and when you're trading at nosebleed multiples, any whiff of risk-off sentiment hits you first.
- The broader tape was defensive today — Healthcare, Staples, Energy all green while risk assets sold off. That's a classic "flight to safety" day, and HOOD is the opposite of safety: it's a leveraged bet on retail trading activity and crypto volumes.

### WHY IT MATTERS

Here's what today really means: when defensives (Healthcare +2.1%, Staples +1.5%) outperform and high-beta names like HOOD get smoked, the market is quietly de-risking. That's often a tell that institutions see something coming — could be earnings jitters (HOOD reports in early November), could be crypto weakness bleeding into fintech sentiment. BUT — and this matters — the options flow is still screaming bullish (put/call of 0.57, with unusual call buying at $103 and $105 strikes at 17x open interest). Smart money is treating this dip as a buying opportunity, not a top. The setup now: if HOOD holds $100 as support, this was just noise; if it breaks, we're looking at a trip back to the $90 gap-fill zone.

### POLICY & POLITICAL WATCH

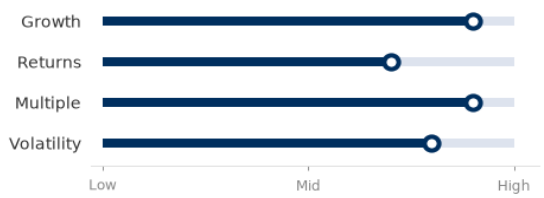
HOOD is sitting in the sweet spot of the current regulatory environment — the SEC under the Atkins-led commission has been dramatically friendlier to crypto, and the CLARITY Act (crypto market structure legislation) that passed earlier this year gave Robinhood a clear runway to expand tokenized stocks and crypto derivatives. Watch for the pending prediction markets rulemaking at the CFTC — if event contracts get formally blessed, HOOD's prediction markets business becomes a real revenue line. The headwind to watch: any Democratic pushback on payment-for-order-flow (PFOF), which is still ~40% of HOOD's transaction revenue, though with the current Congress that's a 2027+ problem, not a now problem.

### IS IT EXPENSIVE?

### Key Data

| | |
|---|---|
| Price (USD) | **$101.89** |
| 12M Price Target | **$115.00** |
| Upside / (Downside) | **+12.9%** |
| Market Cap | **$91.61B** |
| FY2026E Revenue | **$4,850M** |
| FY2027E Revenue | **$5,920M** |
| FY2026E EPS | **$1.85** |
| FY2027E EPS | **$2.40** |
| Fwd P/E | **55.1x** |

### INVESTMENT PROFILE




### 12-MONTH PRICE PERFORMANCE VS. S&P; 500





This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

**HOOD** — Robinhood Markets, Inc. | October 14, 2026

## PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|---|---|---|---|
| 1 Month | **$118.00** | $105.00 | **$92.00** |
| 6 Months | **$140.00** | $115.00 | **$85.00** |
| 1 Year | **$165.00** | $125.00 | **$75.00** |
| 2 Years | **$220.00** | $150.00 | **$65.00** |
| 5 Years | **$350.00** | $220.00 | **$55.00** |
| 10 Years | **$600.00** | $350.00 | **$40.00** |

## WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Healthcare and Staples got bid today — classic defensive rotation. Energy continues to grind higher (+6.6% over 5 days) on Middle East supply concerns and OPEC discipline.

**COOLING OFF:** Real Estate, Materials, and high-beta fintech/crypto names — rate-sensitive and risk-sensitive sectors are getting hit as the market de-risks.

**ROTATION WATCH:** Money is quietly moving from growth/risk into defensives this week, which is unusual against the recent tape. If this persists more than 2-3 days, it's a warning signal for names like HOOD that need risk-on sentiment.

**RELATED PLAY:** If you believe in the HOOD story but want less volatility, COIN benefits from the same crypto regulatory tailwinds, and IBKR is a cleaner play on retail trading growth without the crypto beta.

## WHO'S WINNING IN THIS SPACE?

- LLY (Eli Lilly): Healthcare bid flight-to-safety names today
- XOM (Exxon): Energy continues to work on supply tightness

**HOOD CONTEXT:** HOOD is lagging badly today but has been the leader for months — it's up ~60% YTD even after this drop. One red day after a 5-day rip isn't a trend change; it's healthy. The real tell comes if it can't reclaim $108 within a week.

## WHAT I'D DO WITH THIS STOCK

### 6/10 Conviction Score

**CONVICTION:** 6/10 — I like the business and the policy backdrop, but the valuation is stretched and today's action suggests near-term chop.

**POSITION SIZE:** 2-4% — this is a volatile name that can move 10% on any given day; don't make it a core position unless you can stomach that.

**ENTRY POINTS:** I'd be a buyer in the $90-95 zone. If you already own it, hold through earnings; if you don't, wait for a better entry.

**TIME HORIZON:** 12-24 months — the catalyst I'm waiting for is prediction markets scaling and tokenized equities becoming a real revenue line in 2027.

WHEN TO BAIL: If crypto revenue drops >30% in any quarter, or if there's serious bipartisan movement on PFOF restrictions, I'm trimming hard.

**HEDGING:** Buy some protective puts around earnings if you're nervous — or just trim 25% of your position before the print and buy it back after if the stock gaps down.



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